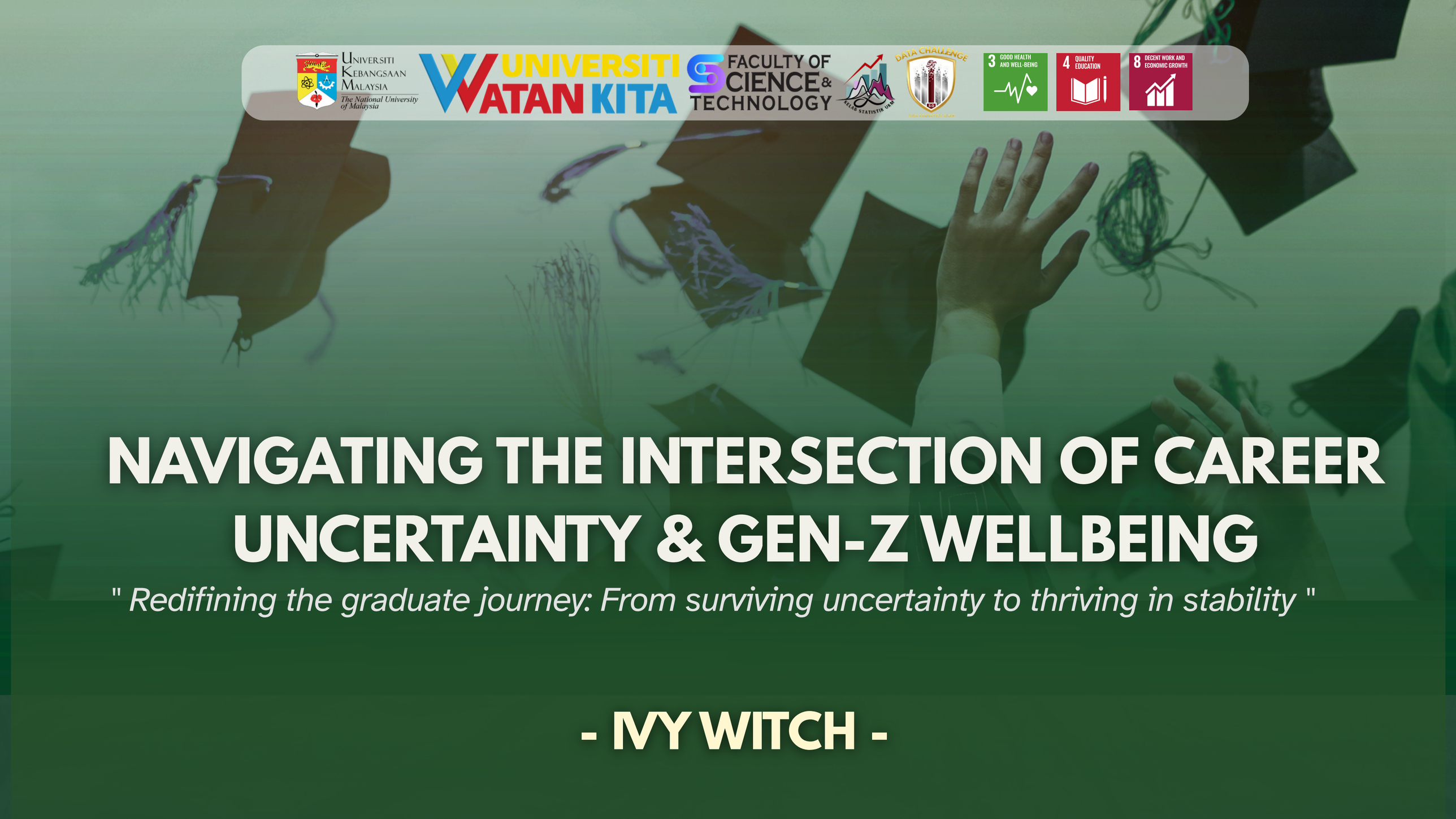

NAVIGATING THE INTERSECTION OF CAREER UNCERTAINTY & GEN-Z WELLBEING

" Redifining the graduate journey: From surviving uncertainty to thriving in stability "

- IVY WITCH -

MEET THE TEAM

REDIFINING THE GRADUATE JOURNEY: FROM SURVIVING UNCERTAINTY TO THRIVING IN STABILITY

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Underemployment in Malaysia rises despite low jobless rate

INSAP
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ECONOMY
Underemployment rises despite low jobless rate
By KIRENNESH NAIR
Tuesday, 12 Aug 2025

Underemployment and Overqualification among Fresh Graduates

NEW STRAITS TIMES BUSINESS TIMES
1.95mil highly educated Malaysians in low-skilled jobs, reflects rising underemployment
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Malaysia's unemployment steady at 3% in 3Q2025 but over one-third of graduates remain underemployed — DOSM

THOUGHTS
UNDEREMPLOYMENT: THE SILENT STRUGGLE IMPACTING OUR WORKFORCE
03/11/2023 09:15 AM
Opinions on topical issues from thought leaders, columnists and editors.

INTRODUCTION

Malaysia produces a large number of graduates each year, but job opportunities do not always match their qualifications.

Many graduates remain in skill-related underemployment

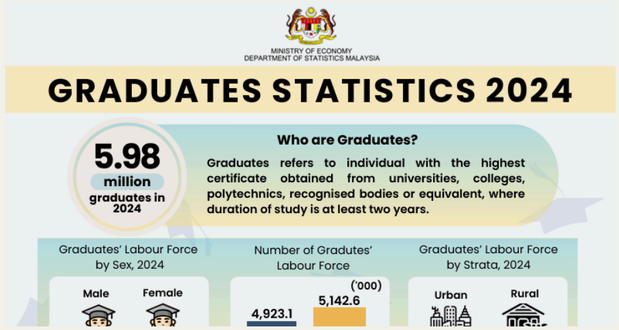
This mismatch creates income pressure, career uncertainty, and job insecurity.

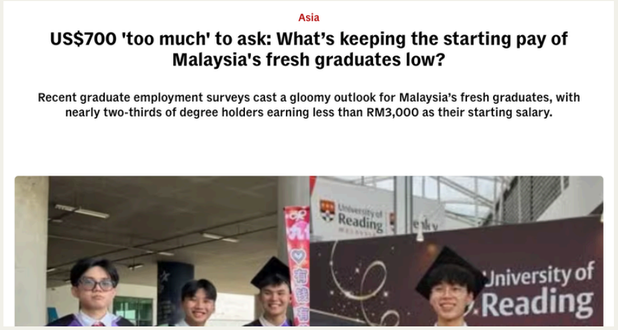
This study explores the relationship between graduate underutilization and youth wellbeing in Malaysia.

This study explores the **relationship between graduate underutilization and youth wellbeing** in Malaysia.

PROBLEM STATEMENT

RISING EDUCATION LEVELS ARE OUTPACING THE CREATION OF HIGH-VALUE JOBS





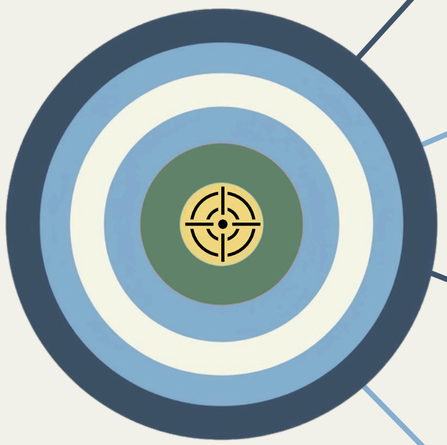
- **5.98 million** graduates as of 2024 with an **86%** Labor Participation Rate.

- **35.5%** (approximately **1.95 million**) of graduates are stuck in semi-skilled or low-skilled roles.

- Low median salaries remain stagnant at **RM 4521 (Degree)** and **RM 3390 (Diploma)**

- Over **52%** face job insecurity, while **60%** struggle with stress, anxiety or depression.

KEY OBJECTIVES



To evaluate the trend and pattern of graduate unemployment and underemployment in Malaysia from 2020-2024

Identification of a persistent gap where, despite falling unemployment, skill-related underemployment remains high

To identify the statistical relationship between graduate employment and youth mental health by using Linear Regression between skill-related underemployment rates and DASS-21 distress scores.

Discover positive correlation where higher rates of skill-related underemployment predict higher DASS-21 scores (Depression, Anxiety, and Stress)

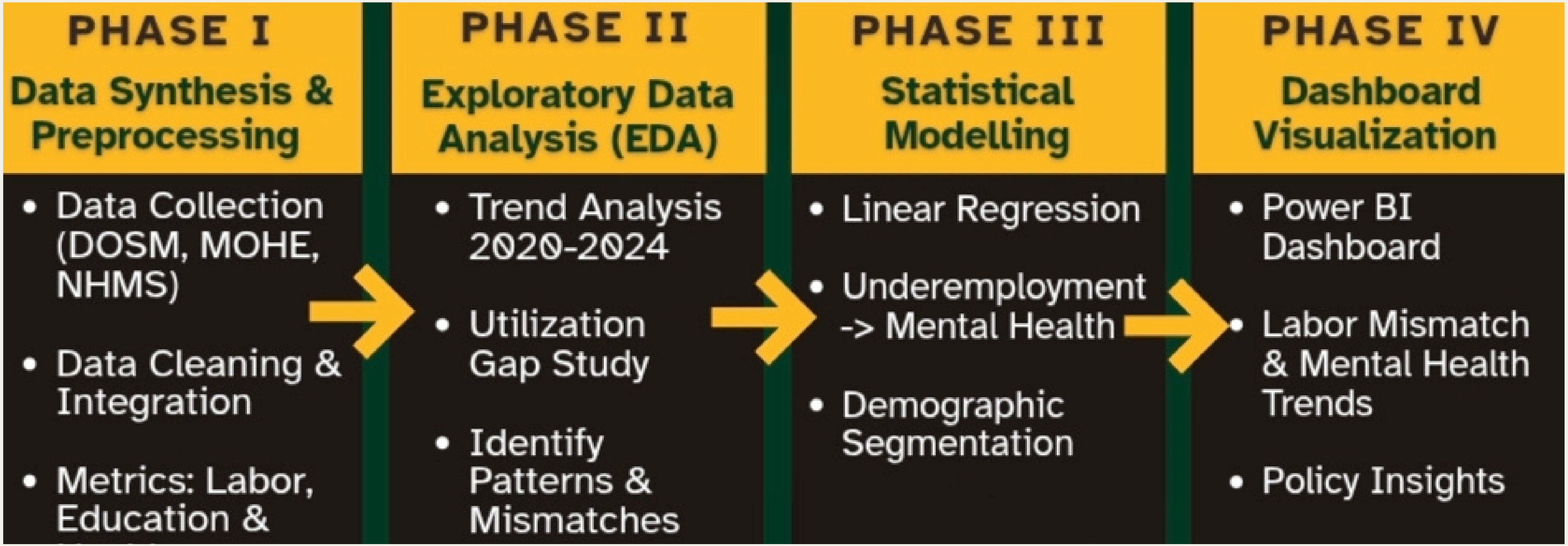
To examine parallel trends in graduate underemployment and youth mental health indicators.

Mental health indicators worsen immediately alongside the increasing rate of underemployment

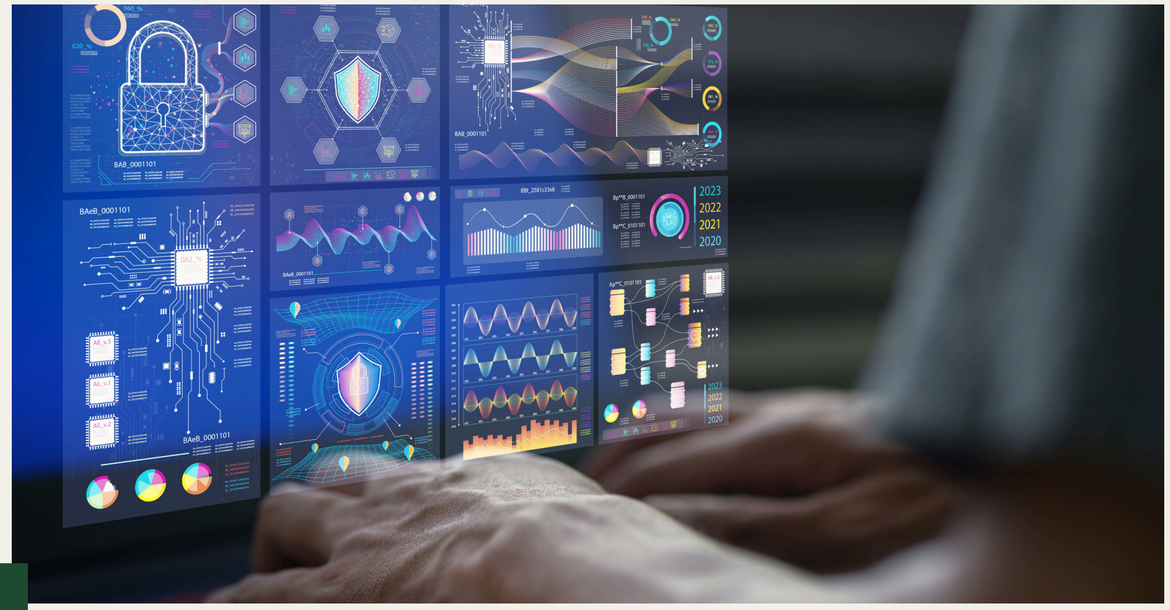
To identify potential mismatch hotspots by investigating which specific groups such as ethnicity, skill level or field of studies are being hit hardest by the utilization gap

Uncovering if non-STEM, the lowest skill level, and minority groups like Bidayuh, were affected the most by the utilization gap.

DATA-DRIVEN METHODOLOGY



DASHBOARD OVERVIEW



REDIFINING THE GRADUATE JOURNEY: FROM SURVIVING UNCERTAINTY TO THRIVING IN STABILITY

Navigating the Intersection of

Career Uncertainty & Gen-Z Wellbeing

Average of Total Graduates	Unemployment Rate (%)	Labor Force Participation Rate (%)	Gen-Z Anxiety Index
5.49M	3.76%	85.42%	30.10

Overview

Labor Mismatch

Mental Health

Job Struggles

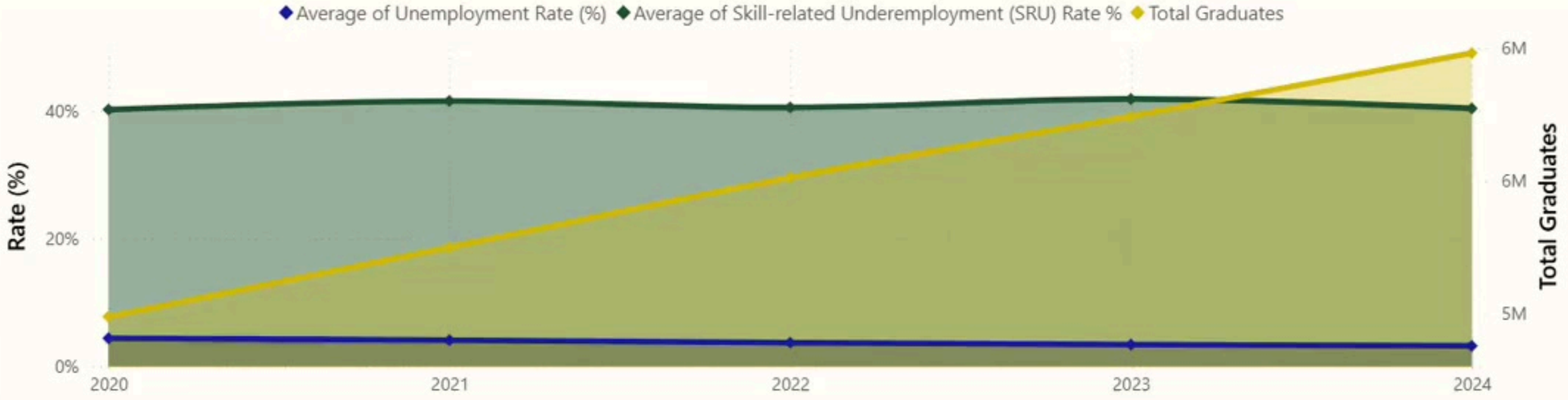
Year

2020

2024

Clear all slicers

Unemployed Graduates vs. Underemployed Graduates vs. Total Graduates



Key Finding

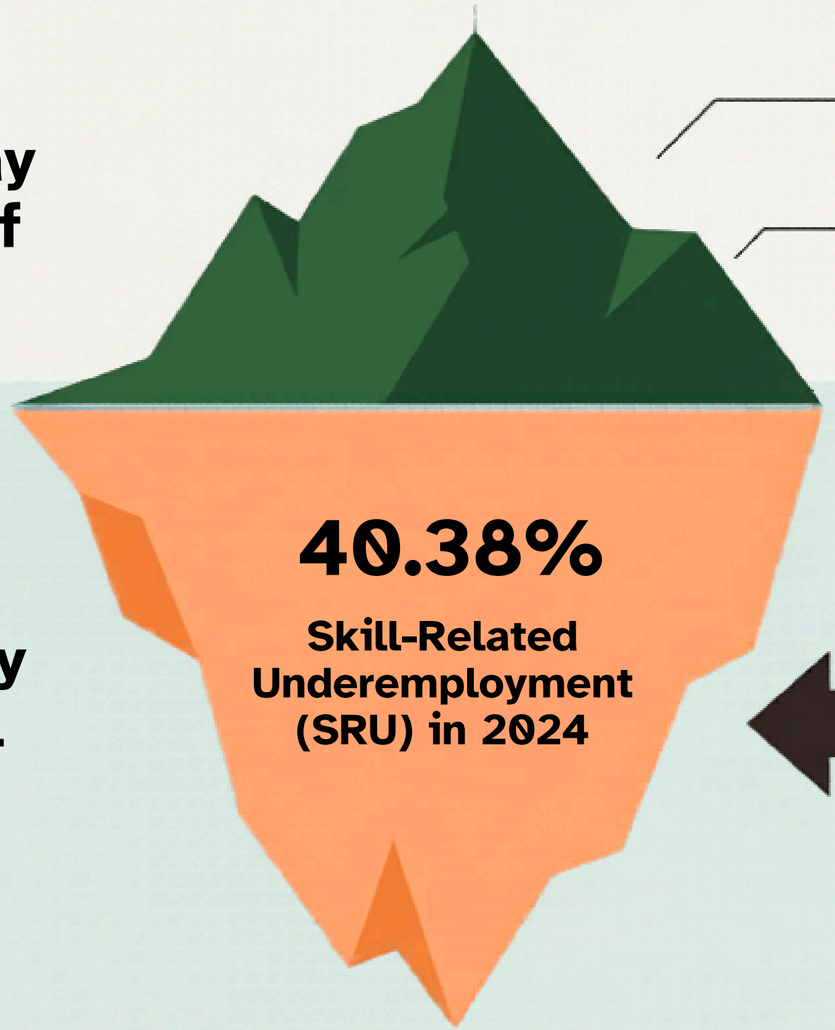
- The SRU rate reached a critical peak in 2023 (approximately 42%) before showing a marginal correction in 2024.
- The labor market is absorbing graduates into the wrong tiers of employment.
- Graduates are opting for "survival employment" to avoid the social and financial stigma of being jobless, creating a hidden layer of workers who are statistically employed but economically misaligned.

FINDINGS & DISCUSSION ANALYSIS

Navigating the Intersection of Career Uncertainty & Gen Z Wellbeing in Malaysia (2020–2024)

Record educational output masks a severe labor utilization crisis.

Playfair Display
The Illusion of Success



5.98 Million Total Graduates (2024)

86% Labor Force Participation Rate

Playfair Display
The Structural Reality

Approximately **40.38% of total graduates in 2024** are actively employed but trapped in semi-skilled or low-skilled roles, fundamentally unutilized by the economy.

The Utilization Gap Matrix

	Unemployment	Skill-Related Underemployment (SRU)
Definition	Degree/diploma holders ready and available for work but currently without a job.	Graduates working in semi-skilled or low-skilled roles that do not utilize their tertiary education.
Current Status	A Statistical Mirage. The macro trend shows stabilization or slight decline.	Persistent Volatility. The true crisis indicator, peaking alarmingly at **~42% in 2023**.
Implication	Fails to capture the volume of graduates accepting overqualified, low-paying roles to avoid social stigma.	The core indicator of the current labor crisis. The economy is actively absorbing human capital into the wrong tiers of employment.

The economy suffers from middle-tier saturation, forcing graduates into a deficit.

Skilled Roles

High-value vacancies growing slower than the supply of degree holders. Creates intense credential inflation.

Semi-Skilled Roles

The ‘Catch-All’. Primary driver of labor demand absorbing the graduate surplus.

Low-Skilled Roles

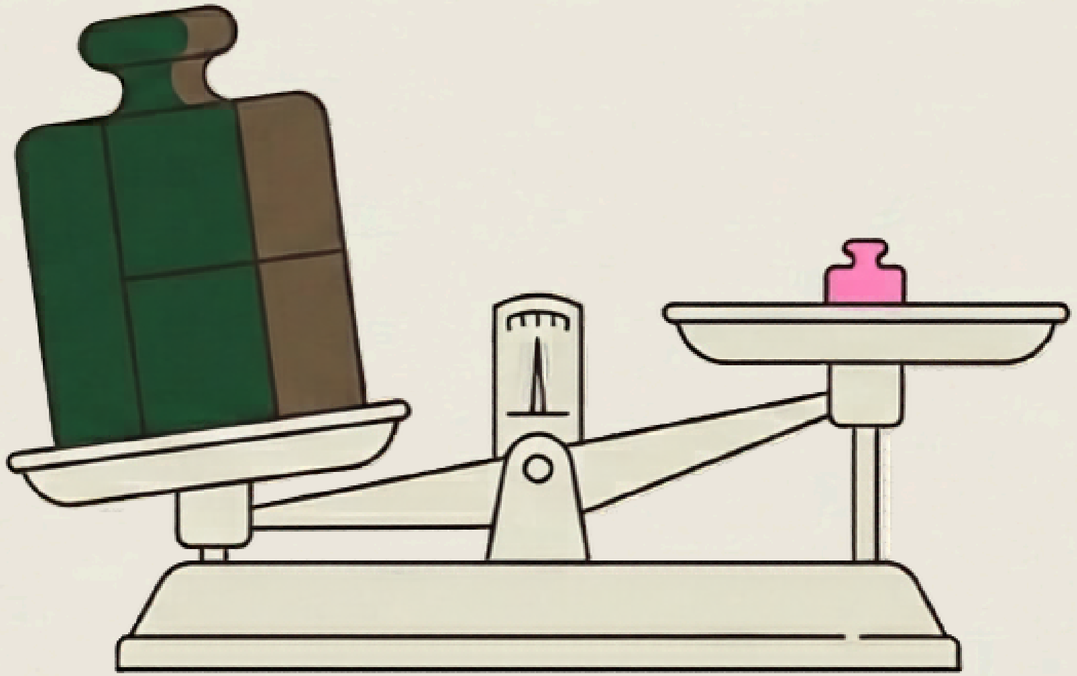
The final safety net. The most significant trigger for career-related anxiety and perceived failure.

The "Success Mismatch" leaves the financial and psychological cost of degrees unbalanced

The Expectation & Cost

Tertiary Degree Attainment & Rising Cost of Living

Expected starting salaries: RM4,521 (Degree) | RM3,390 (Diploma)



The Reality

The Semi-Skilled Trap

Stagnant actual wages averaging only RM2,000–RM2,500

Trusted Sources:

Source for Actual Wages: Department of Statistics, Labour Force Survey 2023

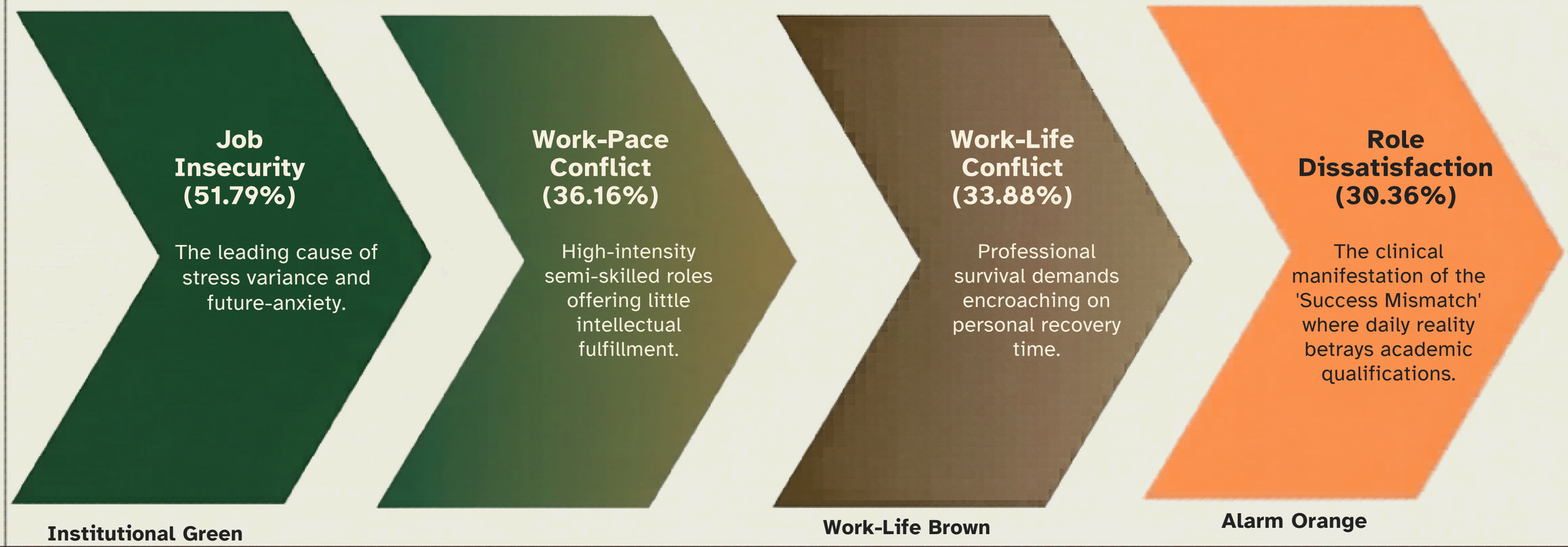
Source for Expected Salaries: National Graduate Employment Survey 2023

A structural failure where baseline economic expectations are fundamentally decoupled from market reality, severely impacting socio-economic mobility.

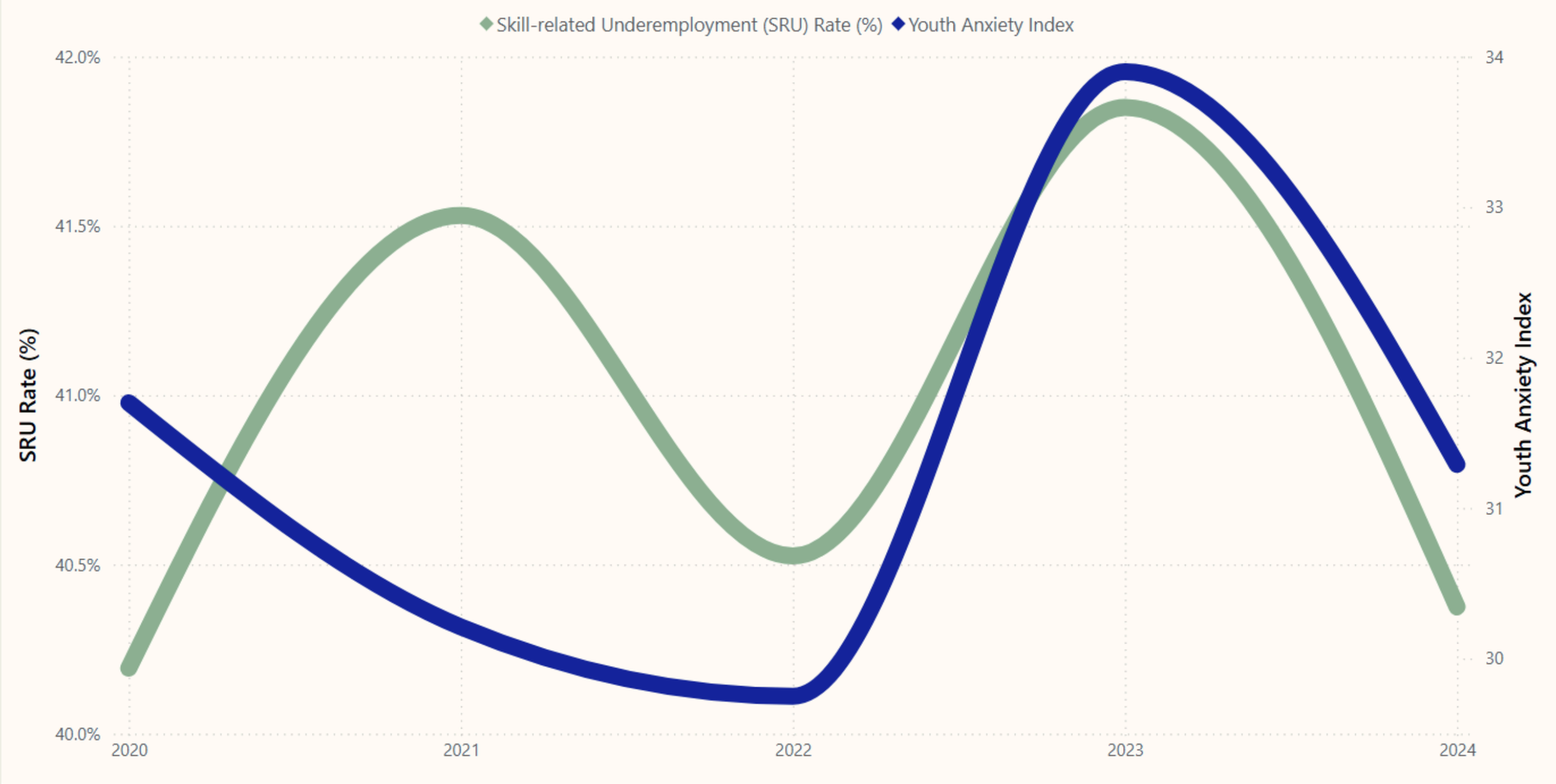
Vulnerability is concentrated: Identifying the demographic hotspots of the utilization gap

CATEGORY	HIGH-RISK SEGMENT	CRITICAL INSIGHT
Ethnicity	Others (Bajau, Iban, Bidayuh, Orang Asli, etc.)	Unemployment rate of almost half of the graduates population
Field of Study	Agriculture & Veterinary	The highest average unemployment rate
Graduate Proliferation Index (GPI)	STEM	GPI is lower than 1.00 (national average)
Level of Study	Diploma Holder	63.20% of unemployed graduates
Skill Level	Low-Skilled	Low demand and competitive salary

How structural economic failure cascades into clinical psychological distress



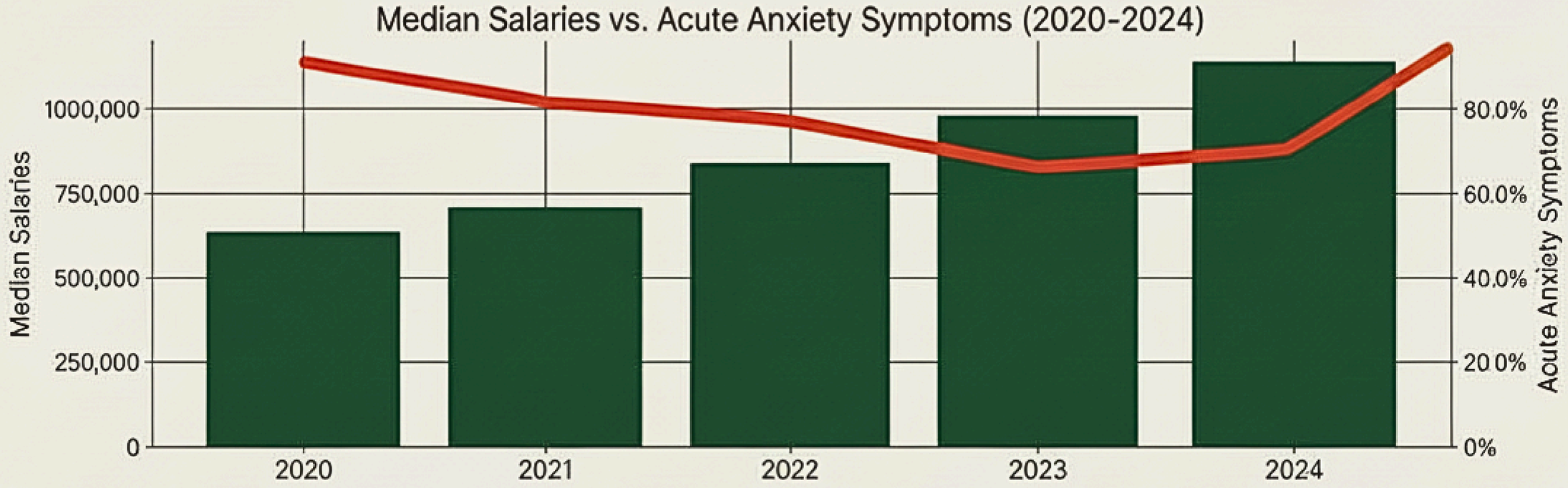
The Convergence: Graduate under-utilization and Gen-Z anxiety are two sides of the same coin



The 2023 peak in Skill-Related Underemployment coincided precisely with the peak in the Youth Anxiety Index

proving the employment **precarity** is the primary driver of the youth mental heatlh crisis

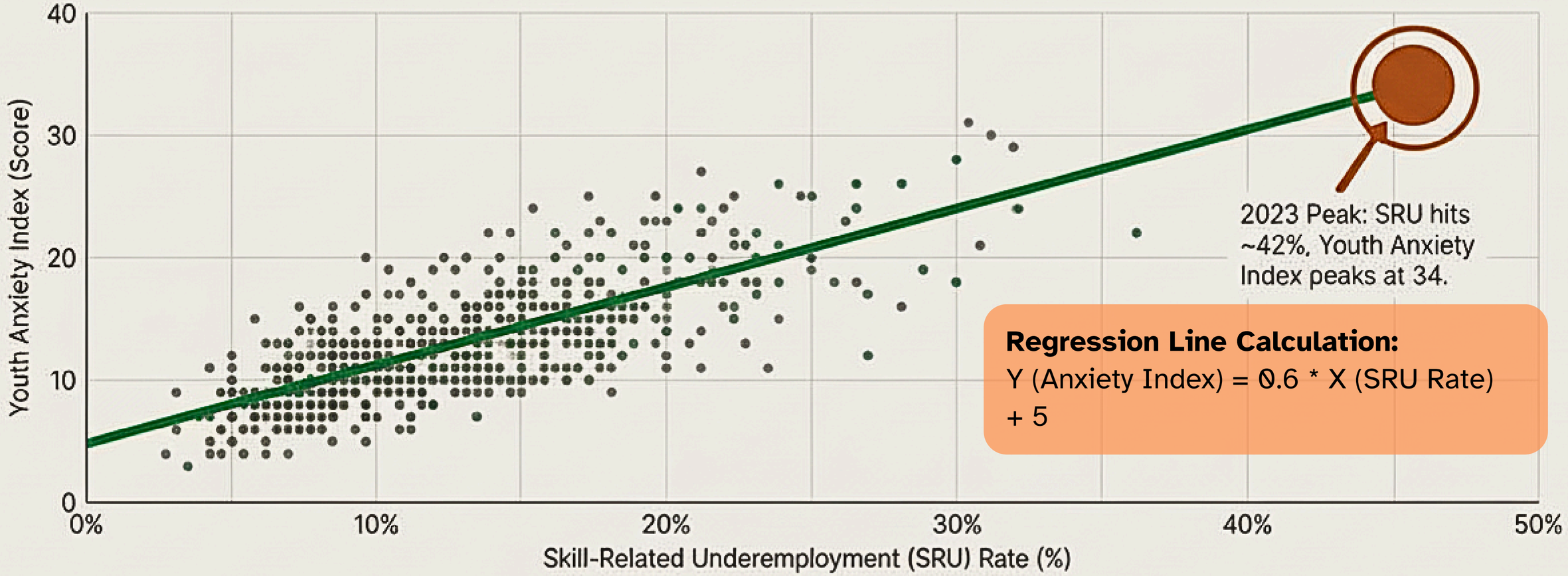
Rising salaries provide relief, but they do not cure the underlying psychological vulnerability.



The Psychological Vulnerability Proxy

Standardizing the inverse of the Wellbeing Index reveals a sobering truth: while more money helps alleviate acute stress, it does not resolve the deep psychological distress caused by the "vertical mismatch" of being overqualified and fundamentally underutilized.

Statistical Proof: The Psychological Cost of Underemployment



This positive correlation establishes that vertical mismatch (underemployment) is a primary driver of psychological distress; proving employment alone is an insufficient metric for youth wellbeing.

CONCLUSION

FROM “ANY JOB” TO HIGH VALUE UTILISATION OF GEN Z GRADUATES

- Malaysia reached a milestone of **5.98 million graduates in 2024** and the **decline in unemployment rate by 0.8% since 2023,** it fails to capture the demand in semi-skilled sectors disproportionately absorbs skilled graduates.

- Gen Z graduates are now struggling with **Skill-Related Underemployment (SRU)** with **approximately 35.5%** of the graduate population is stucked in a role that they are overqualified for.

- **SRU** and the **Anxiety Index Regression** analysis reveals a precise statistical convergence between economic and psychological metrics: **the 2023 peak in SRU (42%)** coincided exactly with the peak in the **Youth Anxiety Index (Score: 34).**

RECOMMENDATIONS

01| SKILL ALLIGNMENTS

- **Action:** Align curriculum directly with real-time industry needs.
- **Impact:** Ensures graduates are "Job-Ready" from Day 1.

02| POLICY INFRASTRUCTURE

- **Action:** Offer tax tiers for companies that convert interns to full-time staff.
- **Impact:** Turns temporary internships into permanent career paths.

03| SKILLED ROLE GENERATION

- **Action:** Create high-value roles for the 35% of overqualified graduates in low-skill jobs.
- **Impact:** Stops "brain waste" and boosts national productivity.

04| MENTAL HEALTH AS A METRIC

- **Action:** Track the link between underemployment and youth anxiety.
- **Impact:** Treats mental health as a core indicator of economic success.

REFERENCES

- Definitions
- Data Sources

DEFINITIONS

Term / Shortform	Meaning
SRU	Skill-Related Underemployment means a lack of work that makes full use of a person's skills and abilities
Gen-Z	Generation Z refers to the generation of people born between the late 1990s and early 2010s
Graduate Proliferation Index (GPI)	Index to classify whether the supply of graduates match national economic demand (GPI 1.00 = national average)
Prevalence (%)	Prevalence (%) = (Number of people with the condition / Total population) x 100
Labor force	All the people who work for a company or in a country
STEM	Stands for Science, Technology, Engineering and Mathematics

PUBLICLY OBTAINED DATA SOURCES

GOVERNMENT / NGOS

- DOSM.GOV.MY
- DATA.GOV.MY
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- IYRES
- UNICEF
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